EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Pamplona was created by ecclesiastics and was named Pamplona in 1884 by Vicar Montenegro in memory of his hometown in Spain. It is situated in the northwestern coast of the Province of Cagayan, with an area of 17,176 hectares.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Pamplona for CY 2024 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition and financial performance of the Municipality of Pamplona, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/ (Decrease)
Financial Position			
Assets	454,404,622.63	422,588,204.26	31,816,418.37
Liabilities	60,920,461.88	42,985,830.37	17,934,631.51
Government Equity	393,484,160.75	379,602,373.89	13,881,786.86
Financial Performance			
Income	162,032,469.53	152,477,503.83	9,554,965.70
Expense	151,420,645.66	137,327,734.51	14,092,911.15
Net Income	10,611,823.87	15,149,769.32	(4,537,945.45)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2024, in terms of implementation of programs, projects and activities, are as follows:

Program/ Project/ Activity	Amount
Purchase of MDRRM Dump truck	2,480,000.00
Construction of Commercial Center	26,312,959.21
Construction of Rice Center	13,364,926.13
Sewerage and Waste Treatment Facility Phase 1	1,596,602.60
Expansion of Water System at Barangay San Juan	192,640.09
Construction of Municipal Memorial Park	3,914,210.17
Total	**47,861,338.20**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Pamplona, Cagayan for the year-ended December 31, 2024 because the existence, accuracy and reliability of the Property, Plant and Equipment account appearing in the financial statements totaling to P322,163,375.60 as at December 31, 2024, cannot be relied upon due to: a) Non-conduct of a complete inventory count, reconciliation and one-time cleansing of the PPE account, b) Non-disposal and non-derecognition of unserviceable machinery and equipment, with an aggregate value of P 473,022.00, and c) Inclusion of items totaling to P 8,198,525.21, with a net book value of P 2,979,919.44, which failed to meet the capitalization threshold as PPE.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Twelve priority development projects under the 20% Development Fund totaling to P 17,000,575.05 were not fully implemented by the Municipality as at December 31, 2024, thus, depriving its constituents of the expected socio-economic benefits that could have been derived therefrom.

   We recommended that the Management fast track the completion of all on-going and unimplemented projects funded under the 20% Development Fund.

   We also recommended that the Municipal Planning and Development Officer, and Municipal Engineer monitor regularly the implementation of the 20% Development Plan, including continuing appropriations, and closely coordinate with the concerned departments in the implementation of these projects, in order for the Municipality to fully achieve the desired socio-economic targets and outcomes.

2. DRRM program, projects and activities totaling to P6,328,776.00, charged against the Trust Liability-DRRMF account, were not incorporated in the Local Disaster Risk Reduction Management Fund Investment Plan and were not covered with a revised Annual Investment Plan, hence affecting the regularity of the expenditures.

We recommended that the Management:

a. Incorporate in the LDRRMFIP the utilization of the prior years' unexpended LDRRMF and specify the list of PPAs to be charged against the fund prior to the utilization of the same; and

b. Ensure that the proposed expenditures are covered with a revised AIP duly approved by the Local Sanggunian and Local Chief Executive.

3. Payments and reimbursements of fuel, oil and lubricants totaling to P 9,788,008.03 were made even without complete documentation and the reasonableness of the fuel consumption could not be ascertained, hence affecting the regularity of the disbursements.

We recommended the following:

a. The Management to require the proper accomplishment of Trip Tickets in the prescribed form before approval of the same and issuance of gas slips.

b. The Municipal Accountant to ensure that payments for FOL are supported with complete documentation; and

c. The GSO to regularly submit the Monthly Report on Fuel Consumption in the prescribed format.

G. Summary of Total Suspensions, Disallowances, and Charges as of December 31, 2024

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	-
Disallowances					
Prior Years	**-**	**-**	**-**	-	-
Current Year	**-**	**-**	**-**	-	-
Total	**-**	**-**	**-**	**-**	**-**
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

H. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of the eight (8) audit recommendations in the CY 2023 Annual Audit Report, three (3) were implemented, four (4) were partially implemented, and one (1) was not implemented.